



MAHINDRA FINANCIAL SERVICES: RESTRUCTURING FOR GROWTH

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Sourav Mukherji, Professor of OB & HRM, prepared this case for class discussion. This case is not intended to serve as an endorsement, source of primary data, or to show effective or inefficient handling of decision or business processes.

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Mahindra and Mahindra Financial Services Limited (MMFSL) is a Non-Banking Financial Company (NBFC)¹ founded in 1991 that addresses the financial needs mainly of the Indian population in rural and semi-urban areas. MMFSL is part of Mahindra Group – the US\$ 20 billion Indian conglomerate.² In 2018, through its nearly 1,300 branches and offices, MMFSL provided financial products and services to more than 5 million customers in rural and semi-urban India. It offered vehicle financing for tractors, commercial and passenger vehicles, two and three wheelers, as well as refinance for used cars. With an income of INR 7206³ crores and an employee strength of about 20,000, it was among the top ten NBFCs in India. In January 2016, MMFSL had undertaken an organization restructuring exercise. This case study describes the various aspects of restructuring – why it was undertaken, how it was implemented and what has been its results.

REGIONAL/BRANCH STRUCTURE

Almost since the time of its inception, MMFSL followed a regional structure⁴ for its field operations of lending and collection. Their business involved understanding the risk profile of their customers and deciding whether it was prudent to lend. Since the customers were from rural and semi-urban locations, they did not have much documented credit history and it was often the MMFSL branch manager and his team who would provide the customer with formal credit for the first time. Thus, MMFSL's business was relational – the deeper their relationships, the better they would understand the customer's creditworthiness. Unlike urban customers who had predictable cash flows, the cash flows of rural customers were cyclical and often related to crop cycles. MMFSL had to customize the loan repayment schedules such that it matched the cash flow patterns of the customers, including provisions of EMI holidays during periods of natural calamities that adversely affected their customers' income. The branch structure was deemed ideal for business where the branch manager and his team catered to all the needs of the customers within their region. Refer to **Exhibit 1** for a representative branch structure. As was typical of an NBFC, their business had two aspects, that of lending and collection. Every member of the branch was involved in both these aspects, depending on the need of the business. Most of their customers paid them back in cash, sometimes even in loose change, which meant that often the executive had to physically meet the customer to collect money.

The branch structure ensured that MMFSL could extend its geographic reach in a cost-efficient manner. Every employee of the branch was able to cater to any need of the customer and the size of the branch and its location was determined by the business volume that the geography was able to generate. This

¹ An NBFC is a company that is involved in the business of loans and advances, acquisition of shares, stock, bonds, hire-purchase insurance business or chit-fund business but does not include any institution whose principal business includes agriculture, industrial activity or the sale, purchase or construction of immovable property. It is regulated by the Reserve Bank of India. Since NBFCs provide banking services to people, without having a banking license, there are certain differences between them and banks. For example, NBFCs do not need to maintain any Reserve Ratios (CRR/SLR), cannot accept demand deposits and can have foreign investments up to 100% (https://en.wikipedia.org/wiki/NBFC_%26_MFI_in_India, accessed on January 31, 2019). NBFCs need to maintain a capital adequacy ratio of 15%, if Tier 1 capital is 10%.

² The Mahindra Group was an Indian multinational that employed about 200,000 people in over 100 countries and operated in a multitude of sectors such as agribusiness, aerospace, defense, energy, steel, retail, commercial vehicles and financial services.

³ Financial year 2017-18

⁴ In India, regional offices are referred to as "branches". Therefore, in this case, regional or geographical structure has also been referred to as branch structure.

generalist branch – structure at the field level was connected to the Operations Head at the Corporate Office through intermediate levels of Territory Managers, Region Managers and Zonal Managers. It was complemented by a product structure. Refer to **Exhibit 2** that depicts MMFSL's organization structure. Product Heads responsible for financing different kind of vehicles as well as those responsible for collection were located at the corporate office. They designed the financial products and decided what should be the strategy to take them to market. Their plans were implemented by the branches through issuing of policy directives even though there was no line of reporting between them and the branches. H S Kamath, the Head of Farm Equipment Vertical, recalled:

We at the Head Office were responsible for driving product specific numbers. Our job was to design the right schemes and maintain relationships with the dealers and the OEMs.⁵ We looked at different quality parameters of the locations and send signals to them for course correction. We were like a support function to them, since they did not report to us.

GROWTH CHALLENGES

Over the years, MMFSL's business increased, both in terms of volume and complexity. When it started its operations, it financed only utility vehicles manufactured by Mahindra and Mahindra (M&M). From 2002, it started to finance vehicles manufactured by other OEMs. The branch manager needed to deal with more variety of products and more people, both on the lending and collection sides of the business. Even though he worked very hard and made the branches profitable, it was felt that the branches were missing out on new opportunities that a growing market offered. While individual sales targets were achieved, the potential of the organization was underutilized. There were also early signs of service level deficiencies. Some dealers of OEMs felt that they were not getting enough attention from the branches. Even the dealers of M&M felt that they were not receiving the expected treatment from MMFSL, despite belonging to the same group. Explained Sandeep Mandrekar, Product Head of Car Loans:

The non-M&M OEMs chose us because of the reach we had. However, the DNA of the organization in most places continued to be about M&M products. Even when it was not the case, the non-M&M dealers perceived us to be so. People continued to do what they were comfortable at doing, not what was important. The same customer expects different treatment when he is buying a car rather than a tractor. He saw the difference in behaviour from the dealers, but not from us, the financiers.

Vrushal Puranik, who was a Territory Manager in Jalgaon recollected:

We would focus only on those dealers who would give us business. There were enough opportunities to make our numbers from M&M and Maruti⁶ and there was not time to focus on other dealers. If any dealer had any issue, our executive would probably avoid

⁵ Original Equipment Manufacturers

⁶ Maruti Suzuki India Limited was the largest passenger car manufacturer in India.

him and focus on other dealers. Nobody asked how much business we were doing for individual products so long our overall targets were met.

The branch managers seemed to be spread out too thinly and were unable to pay due attention to all aspects of the business. Those who were experienced with the recovery side of the business paid more attention to collection and the branch lost out on sales opportunities. Those who were experienced with automobile sector made their numbers by pushing auto-sales and did not invest enough in building relationships for other segments of the business. Even on the collection side, greater attention was being paid on the higher-aged debts and there was less focus on receivables that were lower in age. As a result, receivables were going to higher age buckets, even though MMFSL's ability to make profits was critically dependent on arresting the forward flow of collections. Noted Shailesh Rao, National Head of Receivables Management:

Since the executive had to do both business and collection, he would focus on the easier collections and the difficult ones would move forward. Even in collection, there were product wise differences – a tractor collection was quarterly while a car collection was monthly. Dealers would tell us that we were never available during the month of March, when they needed us most for doing business, while we were focusing on collection. We became an either-or company.

With growing business, more and more branches were created. While it brought MMFSL branches closer to the customers geographically, it also led to the creation of a greater number of layers vertically. Thus, four to five branches were grouped under a territory and three to four territories were grouped to form a region. About five to six regions were then grouped to form a zone. The number of such zones increased to nine, when it was felt that another layer – the Country Group Manager (CGM) needed to be created so that the nine zones could be divided into two groups, with each reporting to a CGM, who in turn reported to the Vice President of Operations.

With so many layers in between, the Product Heads found it difficult to have their plans implemented. Therefore, they sometimes bypassed the vertical layers and reached out directly to the branch managers. Since many of them had risen from the ranks of branch managers, they had prior relationships with OEMs and dealers in their regions. These dealers sometimes sought their help directly, instead of talking to the branch manager. MMFSL also used the Product Heads as mentors for the branch managers to give the business a push, such as during the last quarter of the financial year. It was expected that the Product Heads would be able to leverage their erstwhile connections to increase sales or collections, as the situation demanded. These were temporary and informal plug-ins created with a short-term objective. However, these resulted in the branch managers receiving instructions and directives from multiple people in the hierarchy – all of which created confusion in accountability and responsibilities.

By end of 2015, several signs on the business and organizational front indicated that there was a need to change MMFSL's geography-based structure. The Product Heads were increasingly finding it difficult to have their OEM or asset specific plans implemented by the branches. MMFSL's market shares in various

product categories were stagnating, collections were suffering in quality with rising overdue and higher delinquencies, and there was a declining trend in employee productivity. The Reserve Bank of India⁷ had also given indications that it would tighten the definition of Non-Performing Assets (NPA), gradually reducing it from the existing 150 days to 90 days. This implied that MMFSL needed to pay greater attention to age of receivables and ensure that collections did not move to the NPA bucket. **Figures 1 & 2** provide details of MMFSL's profitability and market share across product segments during the financial years 2013-2018. **Figure 3** provides details of MMFSL's collection portfolio during March 2013 - March 2015.

PLANNING FOR CHANGE

MMFSL drew a three-stage plan for bringing about change in its organization structure. A team under the leadership of Rajnish Agarwal, Vice President Operations was created to drive the change. The structure of this team is provided in **Exhibit 3**. The team decided that as a first step, they needed to identify the reasons that were leading to challenges and difficulties. This would be followed by the second phase where different alternatives to deal with the challenges would be created and evaluated. Finally, the chosen option would be implemented in the third phase. They planned to involve the employees at every stage, seeking feedback from them to understand the challenges of existing business as well as communicating to them about the intended changes. A survey of about 100 employees confirmed many of the hypotheses about limitations of the existing branch structure such as overload on Branch Managers, overlap of roles and responsibilities between the regional and zonal managers and ambiguity in accountability for some positions such as that of mentors. MMFSL also looked at structures of other financing organizations of comparable sizes and found that most of the banks were following product-based structures while another NBFC had a geography-based structure. Considering data collected from three sources – the employment survey, benchmarks with other companies as well as their own business indicators, MMFSL decided that they would need to bring about some kind of product orientation in their structure.

However, at that stage, it was not clear whether the product structure should be overlaid with their existing geographical structure or whether the geographical structure should be completely dismantled giving way to a pure product structure. After all, the geography-based structure had served them reasonably well so far in terms of promoting a distinctive identity of the branches. Employees in branches were cohesive and motivated, driven by branch profitability and sales targets and being rewarded and recognized for their achievements. A product structure would split the branches into sub-units with the possibility of destroying the cohesiveness and team spirit. The team generated several options ranging from pure product structure to those which were hybrid between products and geography structures. They made presentations about the advantages and disadvantages of each of these options to senior management analyzing how each of the options addressed the existing challenges such as that of role ambiguity as well as maximized business objectives such as increasing customer centricity and developing deeper relations with OEMs. Finally, the analysis and discussions led to the conclusion that a

⁷ NBFCs are regulated by the Reserve Bank of India within the framework of RBI Act 1934 and the directions issued by it.

pure product structure would be the most suitable enabler for MMFSL to achieve its strategic objectives. MMFSL's new structure is depicted in **Exhibit 4**.

The Product structure divided the organization into *Business* vertical and *Collection* vertical right at the top and dismantled the advisory role of the Product Heads. On the business side, Product Heads were replaced by Business Heads of specific products reporting to the Operations Head, while on the collection side, several Collection Heads reported to a National Collection Head, who in turn reported to the Operations Head. Thus, the organization below the operations head was federated into seven divisions – Auto, Farm Equipment, Commercial Vehicles, Light Motor Vehicles, Refinancing and Direct Marketing on the business side and a separate collection vertical. This division went right up to the field level executives, which implied that while the branch remained a physical entity, it was logically divided into seven units, each of which had an independent chain of command until the Business Head. While earlier, the branches functioned like independent profit centers, in the new structure they became service delivery centers. The branches were no longer headed by a single Branch Manager, but they had multiple Area Managers each looking after specific products or collection. The senior-most manager in the branch was designated as the point of contact for administrative matters related to the branch. It was also decided that the manager in charge of collections would be the custodian of the company-vehicle allotted to the branch, since he had the maximum need for travel.

Talking about the restructuring, Rajnish Agarwal, VP Operations explained:

We went to a specialist from a generalist structure. This brought focus on both sides of the business. Product specific targets could be allocated right down to the field executive and the dealers knew who to talk to if they faced any challenge. In the earlier structure, setting KRA's for those in the branches was difficult, there was little clarity in how the macro-targets flowed below the zonal managers. On the collection side, because of regulatory changes there was greater need to arrest the bucket movements. We became more like banks and collections could not be left to the branch managers. The new structure ensured that there was focus on quality and monitoring right from the beginning of the contract.

While the logic of separating collection from business was easy to understand, it was not clear to MMFSL how it could be implemented. They looked around among similar companies to understand their processes. However, the MMFSL customer base was quite unique – it had little financial history and most of the transactions were in cash. Therefore, after some deliberations, MMFSL decided to create a model of their own where they classified customers into soft bucket (0-1 defaults), hard bucket (2-3 defaults), and NPA bucket (4 or more defaults). Their next challenge was to understand how many such default accounts could be allocated to the collection executives. In the absence of any benchmarking data, MMFSL leaders traveled over a period of one month, visiting customers and documenting their experience in dealing with them. Based on such empirical evidence, they decided that collection executives in charge of soft buckets could visit 8-10 customers a day. Given the nature of these customers, it was possible for them to handle about 250 contracts a month. Likewise, executives in charge

of hard buckets and NPAs were deemed suitable to handle about 150 and 80-100 contracts, respectively per month. It was also decided that during the first 12 months of the contract, the responsibility of the collection will be with the business team, after which they will pass on to the collection team.

MANAGING CHANGE

The Human Resource team at MMFSL sent out communications at regular intervals to the employees, informing them about the changes that were being implemented. The organization restructuring was also discussed by senior management at their annual convention that was attended by close to 1,000 delegates and watched by the entire organization. MMFSL conducted a role efficacy study to understand the competencies of the managers, such as whether one was good in sales or in recovery. Wherever possible, employees were asked about their preferences for roles in the new structure and their preferences were matched with their competencies, in discussion with their managers to decide their new roles and responsibilities. Concerns, such as whether their responsibilities would be eroded in the new structure were addressed and resolved in an amicable manner and employees were informed that the new structure was replacing breadth with depth, which will lead to increased scope for growth. Managers who needed to change locations were provided enough time to deal with their transition challenges, while there was not much need for the field executives to change their location.

Ramesh Iyer, President, Vice Chairman and Managing Director of MMFSL was the first employee of the organization. Being there from the start, he had literally built the organization. He believed that addressing the apprehensions of employees at the ground level through copious communication was very important for bringing about organization change. He noted:

I talked about the change everywhere, as often as I could. I mentioned it formally in our Annual Meeting and at multiple forums, I talked about it informally when I was with people from the field. All of them wanted to know what was there in my mind, what was the plan, whether it was going to reduce their power and influence in the organization. If people have apprehensions, they will suffer in silence and it would show up negatively in their work. As managers, we needed to address these proactively and remove such apprehensions.

Talking about the restructuring, Vinay Deshpande, Chief People's Officer at MMFSL explained:

While we almost created seven companies out of one company, we did not need to add more people. We were able to take care of our employees and there was no attrition. There was improvement in engagement, productivity and performance. People felt more empowered because they were given verticals of their choices. The Products Heads became mini-CEOs running their own verticals. They are getting directly involved with business details such as incentives of field sales executives. As a result, the ability of employees to earn incentives have also increased. Even the OEMs have responded very positively to the changes.

The new structure enabled MMFSL to work closely with dealers. In the earlier structure, since the same set of employees was addressing M&M and non-M&M vehicles, some dealers were apprehensive about conflict of interest. They were not sure whether MMFSL would show preferential treatment towards products of their group companies. However, such apprehension was removed in the new structure where there were dedicated personnel for non-M&M products who could not make their numbers by selling M&M products. It made everyone in a product vertical understand the product, its distribution requirements and its customer needs in far greater depth than was needed in the earlier structure, which eventually resulted in better performance in the marketplace. According to Ramesh Iyer:

More knowledge about the market translated into more flexibility, greater predictability and better ability to deal with crisis. Be it during demonetization or when there was a liquidity crisis of NBFCs, MMFSL was able to rapidly adjust its business and restore confidence among the stakeholders through suitable recovery measures. When the analysts asked me questions, I told them to directly talk to the vertical heads. The confidence and the depth of their narratives ensured that MMFSL retained its ratings in the market and there was no loss of investor confidence.

Traditionally, it was the dealers who provided MMFSL with the leads. From then onwards, MMFSL wanted to play an active part in generating sales, because there was greater competition in the market and dealers had more choices regarding financing partners. Therefore, MMFSL created Smart Branches, where MMFSL executives positioned themselves in dealer locations and were empowered to take faster decisions.

RESTRUCTURING OF SUPPORT FUNCTIONS

The HR team at MMFSL realized that to make the structural changes effective, support functions such as HR, Legal, and Finance would also have to change. Believing that change should begin first at home, the HR team launched a restructuring effort with inputs from Aon Hewitt,⁸ a consulting firm specializing in the domain of HRM. Noted Vinod Nair, Head of HR Operations:

All these years, the business HR function delivered standardized services and its structure reflected the structure of the field operations. Thus, field HR personnel reported to Regional HR who reported to Zonal HR, who in turn reported to the three Country Group HR heads. They had dotted line of reporting to the respective business heads at each of these levels. When we replaced the regional business structure with that of business verticals, there was need not only to align the field HR with business verticals, but also to move away from the 'one size fits all' model. The need was to customize HR services to the specific needs of the verticals.

⁸ Formerly known as Hewitt Associates, Aon Hewitt is a US-based multinational that provides consultancy services for managing human capital.

It was also a good opportunity for the HR function to have a thorough evaluation of its effectiveness and understand how it could get prepared for the changes that were in the offing in the business environment. Thus, Aon Hewitt was given the mandate of recommending how the HR function at MMFSL could be optimized to address the needs of the business in the new structure as well as how it could develop competencies such as those of HR analytics, to address the organizational needs of the future. The HR structure that existed at MMFSL at that point of time is shown in **Exhibit 5**. The HR function was divided into three groups, those of Field HR, Corporate HR and Learning and Development with the Heads reporting to Vinay Deshpande, the HR Head and Chief People Officer for MMFSL. The Learning and Development group was divided into Business and Leadership, while the Head of Corporate HR, Shaily Singh had Talent Management, Branding, Sustainability, and Corporate Social Responsibility reporting to her. Corporate HR was also responsible for handling all issues pertaining to the M&M Group, how to adopt and adapt HR policies and best practices implemented at the larger group level. Vinod Nair, who was head of HR Operations, had the Process Heads of Talent Acquisition, Performance Management Systems (PMS) and HR Shared Services reporting to him, apart from the three Country Group HR Heads.

With 153 personnel, the team catered to the needs of about 18,500 employees of MMFSL, giving an employee to HR personnel ratio of 121, which was one of the best among organizations of comparable size.⁹ It was however felt that there were overlaps in certain functions such as talent acquisition, which sometimes led to confusion and loss of accountability. The three Country Group HR Heads, each of who looked after three zones were also given two verticals to coordinate, an arrangement that was not viewed to be optimal. Around the same time, the Chief Learning Officer (CLO) resigned leaving the Heads of Business and Leadership, without a leader. Given their experience and background, it was not deemed suitable for either one of them to assume the role of CLO.

Aon Hewitt started their engagement by conducting a diagnostic study of MMFSL, where they interviewed several business leaders, HR leaders, and employees. Through an employee survey, they computed MMFSL's employee engagement score at 76%, which was higher than the Indian average (67%) and very close to that of 'Best Employers in India' (77%).¹⁰ Improving business perspective in HR practices and providing bespoke solutions for different product lines were identified as areas for development. Based on their analysis and benchmarking against industry practices, they proposed an HR operating model and structure. MMFSL adopted most of the recommendations, making some changes to suit availability of resources. Similar to what they had done during the restructuring of the larger organization, the team created a change management process that was significantly premised on communication, discussions, and explaining the rationale of structural change in a transparent manner, collectively through conclaves and forums and individually. **Exhibit 6** depicts the new structure of the HR function at MMFSL.

In the new structure, Learning and Development as a separate unit got dissolved. The Head of Leadership Development (L & D) started reporting to Corporate HR to ensure that Leadership Development complemented Talent Management, while the Head of Business (L & D) was brought under Head of

⁹ Based on Aon Hewitt benchmark data

¹⁰ Aon Best Employer is an annual survey conducted by Aon Hewitt to determine best practices in employee engagement.

Operations as a Center of Excellence. The incumbent was assigned the task of developing Business Capability, maintaining HR Quality¹¹ and have special focus on HR Analytics so that MMFSL could effectively leverage digital technology (e.g., developing predictive analytical models rather than reporting based on MIS) that was pervading and often disrupting all functions of organizations. Apart from this, Corporate HR was largely kept unchanged.

The HR Operations was divided into three buckets, namely the HR Business Partners, Centers of Excellence and HR Service Delivery units. While the Centers of Excellence having domain experts would design HR policies and modes of engagement, the Business Partners were expected to customize the policies according to the needs of their verticals. The Business Partners, who were matrixed between HR Operations Head (solid line) and Business Heads of their respective verticals (dotted line) played the critical role of orienting HR services to the specific needs of the business, which were deemed to be different for different verticals. For example, the incentive structures, recruitment policies and even holidays for an asset management vertical needed to be different from that of a vehicle finance vertical and the new structure was deemed suited to deliver such bespoke HR policies. The HR Service Delivery units were largely involved in handling the transaction intensive HR functions at the field level, most of which did not require high level of customization.

Deshpande remembered the sentiments of employees during the period of change.

There was a feeling of tentativeness. People were wondering what would happen to their jobs, will they stay relevant in the new structure. The most important exercise was that of having role clarity. The conclaves and forums served that purpose, where leaders clarified and negotiated their authorities, responsibilities and boundaries in the new structure. Then they took that to their respective teams to get the buy-in and set their goals and deliverables accordingly. The negotiations were done in a non-conflicting manner. There was anxiety, but finally there was acceptance. While it is too early to evaluate the impact of restructuring the HR function, we are confident that this is the direction to grow. After some time, the dotted lines to business will become solid lines and those to the function will become dotted. Other support functions such as Finance and Legal will also follow similar restructuring.

CHALLENGES AHEAD

The performance of MMFSL improved significantly during the last two financial years, indicating the effectiveness of restructuring. Collection efficiencies improved and almost every business vertical showed high growth, including those like passenger cars which was not viewed traditionally as MMFSL's forte. This was remarkable because in large organizations, a major restructuring such as the one undertaken at MMFSL was usually followed by a dip in performance, a period where the people and organization

¹¹ Implementing M&M's Business Excellence Model and People Capability Maturity Model (PCMM)

adjusted to the new roles and expectations before they could perform again. The reason for this, according to Ramesh Iyer was the time they gave for the changes to take place. He said:

We did not rush into this. We talked about this for one full year at every level of the organization. We got to hear from people what they felt about it, what they were apprehensive about. We knew we had to be patient and could not revert to the old structure at first signs of troubles. If things did not improve within a year, we would have admitted failure and pulled the plug. Fortunately, everything started to look up very quickly, despite the external shocks. Today, each vertical is almost equal to what entire MMFSL was five years ago.

Despite the performance improvement, Iyer and his team at MMFSL was aware that the new structure would have lost some of the advantages of the erstwhile branch structure. The branches were cohesive units where the customer and business were the focus. In the new structure, the branch became a collection of product footprints and lost its significance as an entity. Would that create silos and pose a threat to the cohesiveness of the organization? Sandeep Mandrekar, an MMFSL veteran did not think that would happen. He noted:

The branches are still like a small family, they are very cohesive. They collaborate even on activities that are not part of their individual KRA. Most of the employees there are old timers, so their relationship persists. As long as we retain our culture of focusing on the customer, we will not face any issues. However, we must ensure that we are consistently giving the message that we are one company, we are all in this together.

Continued Mandrekar:

When we travel to the branches, we make sure we meet every team member and not only members from my vertical. A lot of stuff that we discuss are common across all verticals. Similarly, when we address the employees in monthly webcasts, we talk of common company issues, directions that need to be given to all teams across the country.

Another disadvantage of the new structure was its unsuitability to address markets with low opportunity. When business volume was low, it was ideal for resources to handle multiple functions and the erstwhile branch structure was suitable for that. The new structure could hinder MMFSL's ability to penetrate deeper into the rural markets. To address this problem, MMFSL was experimenting with a low-cost format, where trainees would be used to address the smaller opportunities and based on their performance over a period of one year, they would be moved to positions of higher responsibility.

While praising the new structure, Kamath identified another interesting problem.

In my past 20 years in the organization, I have never spent so much time with people as I have done during the last two years. The structure gives me more time in building

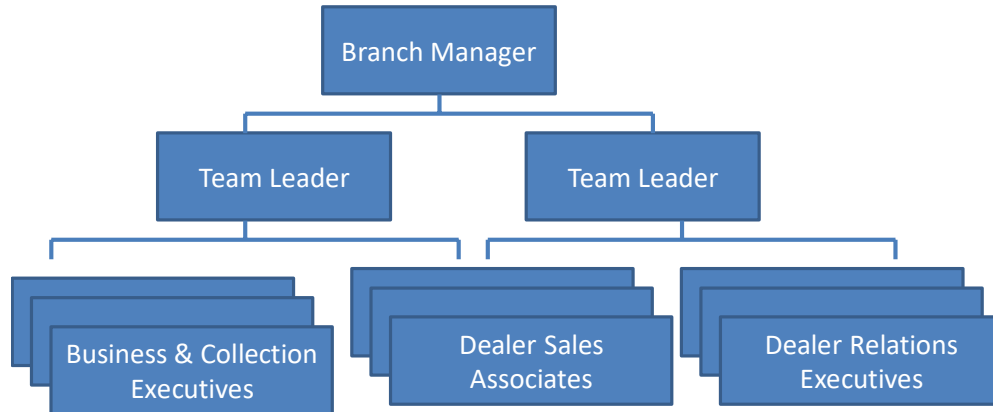
capability, rather than chasing numbers. I am getting involved and engaged in multiple aspects of the organization. I can feel more energy among the people because their deeper knowledge and relationships are getting translated into greater productivity. However, this also makes the people more vulnerable to poaching. We (the farm equipment vertical) are the leaders of the industry and the competitors can now easily identify the stars. But I also look at the positive side...when they get calls from the competitors, they will feel good that they are being recognized by the market.

Iyer concludes on a note of high optimism.

Today I see a lot of collaboration among the product heads. There is no competition among them, they can grow as much as they want to, they are like CEOs of independent companies. This is the blueprint for growth. In future, the product heads will be only evaluated based on the profitability of their business. Our role at the corporate center will be to allocate capital and maximize return on investment.

Exhibit 1

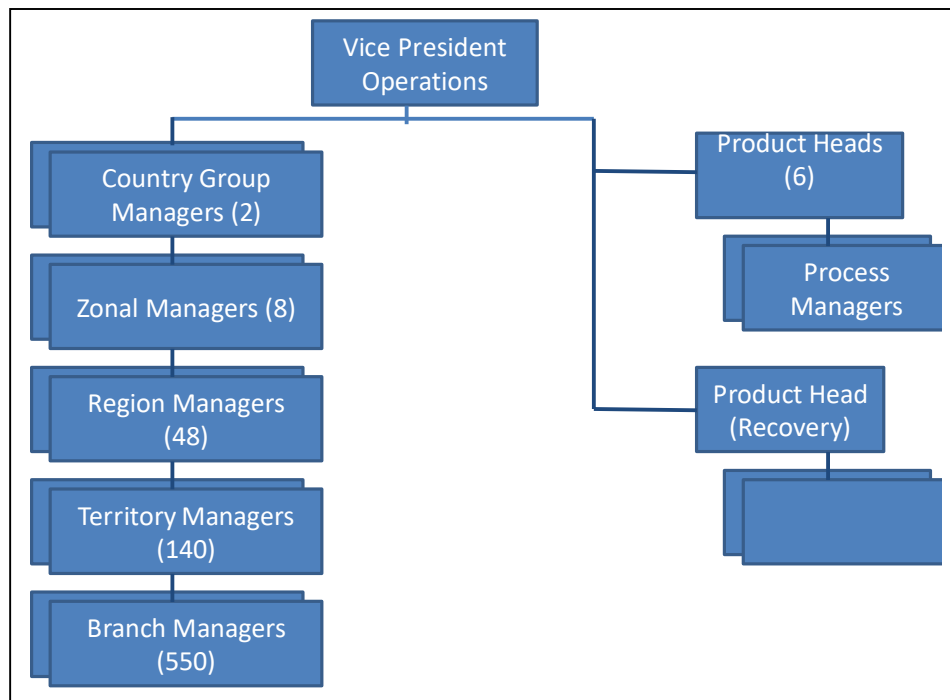
Representative Branch Structure of MMFSL Prior to Restructuring



Source: MMFSL

Exhibit 2

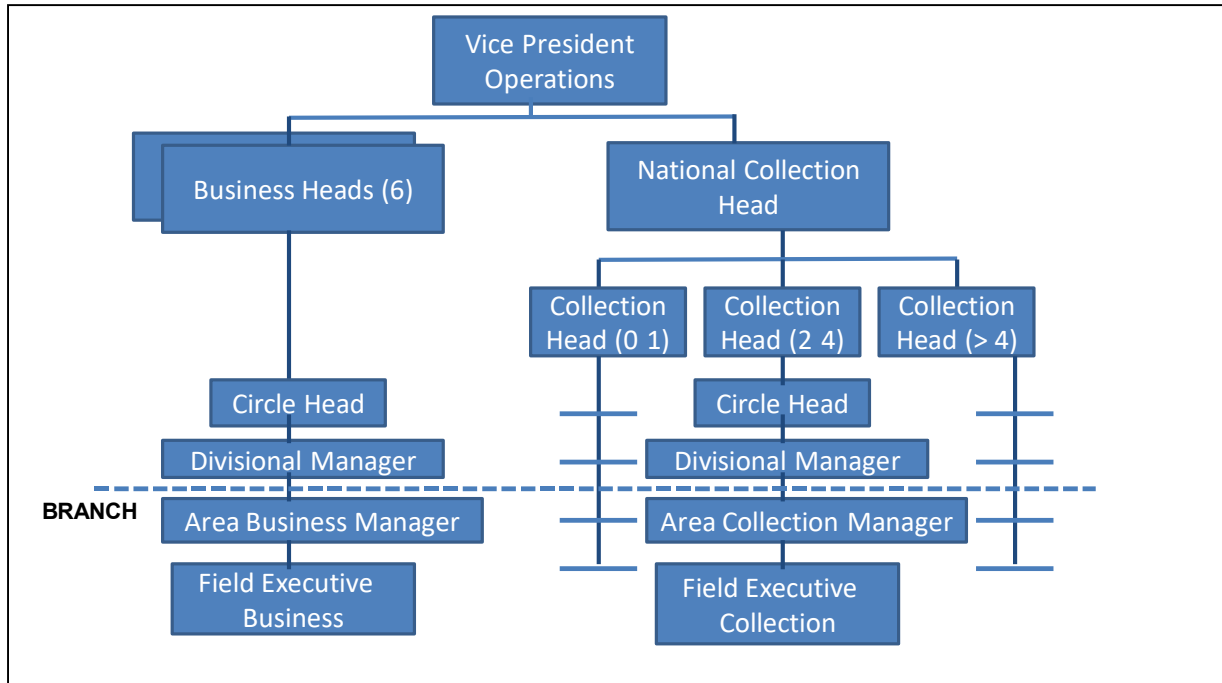
**Representative Structure of MMFSL Prior to Restructuring:
Branches to Corporate Head Office**



Source: MMFSL

Exhibit 3

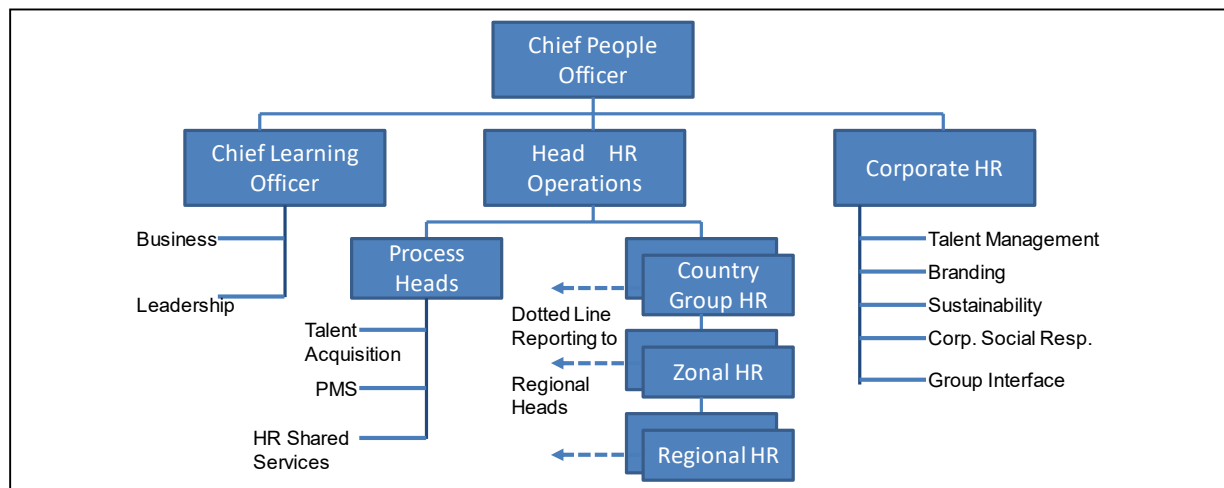
MMFSL's New Organization Structure



Source: MMFSL

Exhibit 4

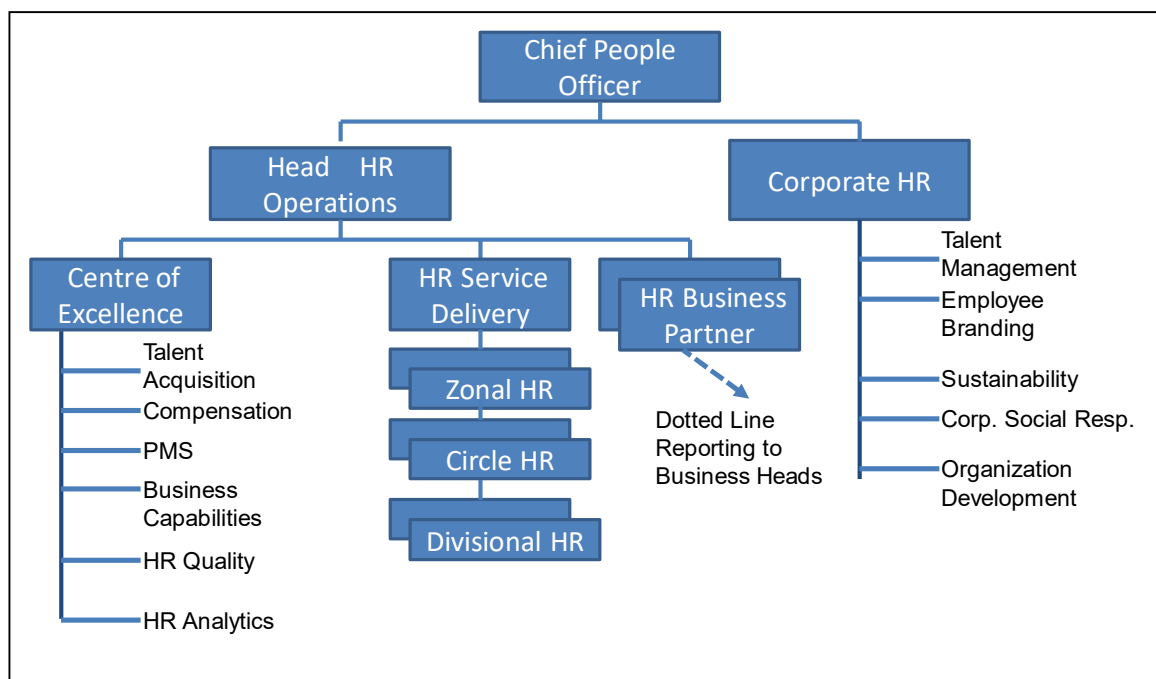
Structure of MMFSL's HR Division Prior to Restructuring



Source: MMFSL

Exhibit 5

Structure of MMFSL's HR Division after Restructuring



Source: MMFSL

Figure 1

MMFSL's Profitability (FY 2013 – FY 2018)

Financial Year	Profit after Tax (INR crores)
2013	883
2014	887
2015	832
2016	673
2017	400
2018	892

Source: MMFSL

Figure 2

MMFSL's Market Share (%) across Products Segments

Financial Year	Auto	Farm Equipment	CV	Maruti	Hyundai	Tatas
2014-15	31.89	34.55	33.9	8.27	2.98	7.78
2015-16	30.13	33.03	36.52	7.72	2.84	7.43
2016-17	32.70	36.44	30.08	7.38	3.71	5.32
2017-18	33.12	33.12	20.09	6.76	4.30	4.45

Source: MMFSL

Figure 3

MMFSL's Portfolio Health (March 2013 – March 2015) %

	0-1 Aging	2-4 Aging	> 4 Aging
March 2013	84	12	4
September 2013	78	16	6
March 2014	78	15	7
September 2014	73	18	9
March 2015	70	19	11

Source: MMFSL